

The complaint

Mr C complains about how QIC Europe Ltd dealt with a and access claim he made following an escape of water within his home.

What happened

The background to this complaint, and my initial conclusions, were set out in my provisional decision dated 8 September 2021 – a copy of which is attached and forms part of this final decision.

In my provisional decision I explained why I didn't think QIC had acted reasonably and fairly in how it deal with Mr C's claim. And I outlined the reasons why I was minded to uphold his complaint. I said:

"What happened

Mr C held a buildings and contents household insurance policy which is provided by QIC. This policy was inception on 3 October 2020 for a period of 12 months and a copy of the policy terms and schedule were made available to Mr C at around the time the policy commenced.

On 25 November 2020, Mr C contacted QIC to report an escape of water within his ground floor bathroom from a burst internal pipe. He managed to turn the water off from the street. And he said he'd instructed a plumber ("P") to attend his home to find the leak, which was dealt with under his home emergency policy.

Mr C said P had found the leak – it was coming from the mains stopcock. But he said P couldn't access the source of the escape of water. So, he contacted QIC as he wanted to claim for the costs of trace and access under his buildings insurance policy.

When Mr C reported the escape of water to QIC, it asked him whether he could see the leak. He replied that he could but said the leak couldn't be accessed as there was additional pipework in front of the affected pipe that would have to be moved before the leaking pipe could be reached. Mr C said QIC told him to repair the leak and provide a cause of damage report from a plumber afterwards.

Mr C instructed P to undertake repair work to the leaking pipe. He subsequently submitted an invoice together with 12 photographs evidencing the work that had been required. Mr C said he thought his claim would be settled. However, he was informed by QIC that it was repudiating his claim as "the leak was from the mains stopcock and...this did not fall within the policy ambit for trace and access". QIC said it had reached that decision after its in-house surveying team had reviewed the evidence provided by Mr C.

Mr C complained about QIC's decision to repudiate his claim. But QIC didn't uphold his complaint stating the works Mr C had undertaken were necessary and required completion irrespective of whether the policy would provide cover. So, Mr C referred his complaint to our service.

One of our investigators looked into what had happened and recommended upholding Mr C's complaint. They didn't think QIC had dealt with Mr C's claim fairly and thought it needed to pay the invoice he'd presented insofar as the trace and access work was concerned in full – subject to him providing proof of payment. Mr C accepted our investigator's view of this complaint but QIC didn't. So, I've been asked to decide how this complaint should be resolved.

What I've provisionally decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Where the information I've got is incomplete, unclear or contradictory, as some of it is here, I must base my decision on the balance of probabilities. I'd like to thank Mr C and QIC for the level of detail contained within their submissions. I've read and considered all the information provided and, I haven't specifically referred to a point that Mr C or QIC have made it isn't because I haven't considered it. My decision will focus on what I think are the key issues – an approach that reflects the informal nature of this service.

My role is to assess whether I think QIC made a mistake, or treated Mr C unfairly, such that it needs to now put things right. And, having thought carefully about everything he and QIC have said, I've largely reached the same findings as our investigator. Our investigator directed QIC to meet Mr C's claim for the trace and access work that P undertook in full. But they didn't direct QIC to deduct the policy excess applicable to an escape of water claim. For this reason, I've drafted a provisional decision.

There's no dispute that there was an escape of water within Mr C's property. But there's disagreement between him and QIC about the correct outcome of this claim. In reaching a decision about this complaint I've considered the terms of the policy, the telephone recordings QIC provided, what it said about Mr C's claim and what he said about what happened. I've also taken into account the invoice Mr C provided from P and the photographs of the work it undertook.

Under the terms of Mr C's policy, the cost of repairs to pipes are excluded. This is a typical clause within household insurance policies. So, I think QIC acted fairly in declining to reimburse Mr C for the cost he incurred for repairs to his pipe. I'm therefore not going to direct QIC to cover that cost. P's invoice outlines that the cost of the repair work was £500 – this part of the invoice therefore isn't recoverable in line with the terms of Mr C's policy.

In considering whether QIC acted fairly in its decision to decline Mr C's claim for trace and access, I can see that the policy terms clearly state that QIC "will pay up to £10,000 per incident for reasonable and necessary costs to remove any part of the building to find the source of the damage...caused by water escaping from any fixed water or heating installation, apparatus or pipes".

QIC has said this term only applied where damage was caused by an escape of water. But I don't think that would be a fair interpretation in this set of circumstances because I'm not persuaded that Mr C could have known there was no damage until the source of the leak could be accessed. The leaking pipe appears to have been obscured by a cupboard and additional pipework, which I think would have made any damage difficult to fully assess until access had been obtained.

I think that, if Mr C hadn't taken action because he'd been unable to access the leaking pipe, this would have caused significant damage. This would have, most likely, resulted in

Mr C making a large escape of water claim. He has a duty, as a policyholder, to mitigate his loss and any damage caused. And I'm satisfied he acted proactively and reasonably in instructing P to access the leaking pipework and repair it. I don't think it's fair to be critical of him for taking this action.

Here, I think it would be unfair for QIC to decline a claim simply based on the fact that damage didn't occur. Like our investigator, I'm persuaded that, under our fair and reasonable remit, Mr C ought to be able to pursue an escape of water claim even in circumstances where damage hasn't occurred for the reasons outlined above.

QIC has also argued that the policy term applies only where the source of the escape of water needs to be located. And it said it acted fairly in repudiating Mr C's claim because the location of the leak was already known. It further disputes that Mr C incurred any costs in finding the source of the escape of water given that its location was known.

Again, I don't think QIC's rationale for declining Mr C's claim is fair. I say this because, while Mr C and P thought the escape of water was coming from the mains stopcock this couldn't be confirmed with certainty until the pipe could be accessed. Mr C needed to be sure that the correct pipe was being repaired by P. So, I think it was reasonable for the trace and access work to be undertaken.

On this issue, Mr C has raised concerns about why QIC didn't inform him it wasn't going to cover the cost of the trace and access work at the outset of his claim. I've heard recordings of the telephone discussions Mr C had with QIC during November and December 2020. So, I've thought about whether his concerns are fair and reasonable.

During initial telephone calls when Mr C reported his claim, he clearly told QIC that the leak could be seen. But he also said the leak couldn't be accessed. And he said he wanted his policy to cover the cost of accessing the leak. I think Mr C was candid and upfront with QIC about what was happening at every stage of his claim. He appears to have acted reasonably throughout his claim. And it also seems QIC encouraged him to proceed with the work he wanted it to authorise.

It's clear to me that Mr C was asking QIC for guidance on the extent of his cover, which it ought to have been able to provide. The adviser he spoke with on 25 November placed him on hold while she checked the policy. This was after it was known that the source of the leak had been identified but couldn't be accessed. So, I think QIC had the opportunity of informing Mr C about the exclusions applicable to the escape of water clause at the outset of his claim. But it didn't tell him that, because he could see the leak, cover wouldn't be extended to him. And it appears that Mr C's early discussions with QIC left him believing that he was, at least, covered for the cost of trace and access work. I think that was unfair.

Here, QIC chose not to instruct a contractor to attend Mr C's property to undertake the trace and access work. So, Mr C was left with no alternative but to instruct a plumber himself in what appeared to be an urgent situation. In such circumstances I don't think it's fair to say the cost of instructing P isn't recoverable.

I can see that QIC has questioned the cost of the work incurred by Mr C stating that the only work required to access the leaking pipe was the removal of a cupboard. P has invoiced Mr C for trace and access costs of £1800, which QIC doesn't feel is proportionate to the trace and access work that it feels was needed.

I've considered what QIC has said here. But P's invoice shows that more than the removal of a cupboard was required for the trace and access works. Based on the available evidence, I'm satisfied that the leak couldn't be accessed because of additional pipework

and other obstacles located nearby. This is also supported by the photographs of the work in progress that Mr C provided to QIC and our service.

P's invoice clearly outlined that it had to remove a section of a cupboard, remove pipes connecting the water softener and cut out a section of a waste pipe servicing the shower tray and wash basin to gain access to the mains pipe to locate the source of the leak. And P said it further dug out a section of the concrete floor and dismantled a cupboard in order to gain access to, cut out and repair the leaking section of the mains pipe. The trace and access work was therefore extensive and I'm persuaded that the work P has itemised on its invoice was necessary and proportionate to trace and access the leak.

It may be that the trace and access would have cost less had QIC appointed one of its approved contractors. But that opportunity was lost at the outset of this claim. So, it wouldn't be fair to restrict what's recoverable to what it would have cost had an approved contractor undertaken the work. In the overall circumstances, I don't think the costs P invoiced are excessive considering the extent of work it undertook in order to access the leaking pipe.

Our investigator directed QIC to reimburse Mr C for the cost of P's invoice, subject to him confirming that the invoice has been paid. However, they didn't comment on QIC being entitled to deduct £750, which is the excess applicable to an escape of water claim. As I've already explained, this is the reason why I'm drafting a provisional decision as it gives QIC and Mr C the opportunity to respond to the issue of whether an excess should be deducted.

In order to resolve this complaint, my provisional view is that QIC should pay for the costs of the trace and access work invoiced by P, less any excess that is due under the policy. Mr C should provide proof of payment to P to QIC before it makes payment of the claim. Like our investigator, I also think QIC should pay simple interest at a rate of 8% from the date Mr C paid his invoice to the date of settlement."

In my provisional decision, I invited both parties to respond with any additional information they wanted me to consider before I made my final decision, which is our service's last word on the matter.

Both QIC and Mr C responded to confirm they agreed with my provisional decision and had nothing further to add.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, and in light of the fact neither party has presented any new evidence or arguments for my consideration, I see no reason to depart from the conclusions set out in my provisional decision. I still think Mr C's complaint should be upheld for the reasons already outlined.

Putting things right

In order to resolve this complaint, QIC should pay for the costs of the trace and access work invoiced by P, less the £750 excess that is due under the policy. Mr C should provide proof of payment to P to QIC before it makes payment of the claim. QIC should also pay simple interest at a rate of 8% from the date Mr C paid his invoice to the date of settlement.

My final decision

My final decision is that I uphold this complaint. QIC Europe Ltd should resolve this complaint in the following way:

- Pay the trace and access claim in the sum of £1800 (less the applicable excess) subject to Mr C providing proof of payment.
- Pay simple interest at a rate of 8% per annum on £1800 from the date of payment to the date of settlement*.

*HM Revenue & Customs requires QIC Europe Ltd to take off tax from this interest. QIC Europe Ltd must give Mr C a certificate showing how much tax it's taken off if he asks for one.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr C to accept or reject my decision before 1 November 2021.

Julie Mitchell
Ombudsman